

Based on stakeholder comments, the draft rules may be tweaked before notification by the CBDT.

Some have expressed concerns over the short window between the publishing of the draft rules and their notification. Experts say that after April, taxpayers would require two-three months to review the changes and make the required tweaks.

The Institute of Chartered Accountants of India has already held capacity building programmes on the new I-T Act, its new President Prasanna Kumar D said recently, adding that it will hold more such sessions for chartered accountants once the rules are notified.

Additionally, there are worries over whether the I-T portal, which is prone to snags, will be up and running on April 1. CBDT Chairperson Ravi Agarwal underlines that the department is working on it. But since it's a huge shift, all the changes may not be available from the beginning. The department has identified the dates when these utilities would be required, and those would be rolled out accordingly.

"Everything will not be there on April 1, but wherever it is required, it will be done. For example, ITR will be required in July, it will be done. TDS statements for the first quarter of FY27 will be required subsequently, and that will also be done," he says.

Salaried workers, apart from the new I-T rules, will also have to assess the impact of the Labour Codes in the new fiscal. Experts warn that some employees' take-home salaries could be hit. However, they add that most companies are working on restructuring salaries to minimise such problems.

Preeti Sharma, Partner for Glob-



“Tax regulation will become simpler. There could be some teething issues. We are trying to minimise them. The administration is gearing up to effectively implement the new law”

RAVI AGARWAL
Chairperson, CBDT



“For salaried individuals with... significant eligible deductions, the old tax regime may now present a potentially advantageous option”

SANDEEPP JHUNJHUNWALA
Partner, Nangia Global

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al Mobility Services, Tax & Regulatory Advisory at BDO India, likens the Labour Codes to a new tax when it comes to taking a decision about the compensation structure.

"Traditionally, employee compensation structures were largely influenced by tax exemptions and deductions, but now you can't create a structure without taking care of the impact of the Labour Codes," she says, adding that a key factor is the uniform definition of 'wages' in all the four Codes and the provision that it should not be less than 50% of the total remuneration.

Companies are reviewing the provisions in their payroll and compliance management. While

some are planning to implement the provisions immediately, others may choose to do so with their appraisal cycle.

However, be mindful that the Codes are effective November 21, 2025, and hence the compliances which are not linked with the rules to be notified have to be adhered to on an immediate basis, says Sharma.

For individual taxpayers and the salaried, the new fiscal year will bring in a fresh round changes that could impact their remuneration. Understanding those changes is essential for efficient tax management. **BT**

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